Whitley Stimpson

CHARTERED ACCOUNTANTS

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Our Ref: MW/DU5008/KH

4th April 2005

M.J. Durbin, Esq.,
104 Bath Road,
Banbury,
Oxon.,
OX16 0TR.

Dear Mark,

In accordance with the regulations of the Institute of Chartered Accountants in England and Wales, I am enclosing two copies of our engagement letter setting out the terms on which I am to act for you. Would you please sign and date the copy marked 'Office' and return to me in the pre-paid envelope attached. The second copy is for your retention.

With kind regards.

Yours sincerely

Martin Wyatt

Enc:

PARTNERS

Alan Prickett FCA • Malcolm Higgs FCA • Nicholas Bullen FCA • Martin Wyatt FCA • Martin Anson FCA
Val Buzzard FCCA

Registered to carry on audit work and regulated for a range of investment business activites by the Institute of Chartered Accountants in England and Wales
A Member of Moores Rowland International, an association of independent accounting firms throughout the world

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4th April 2005

M. Durbin, Esq.,
104 Bath Road,
Banbury,
Oxon.,
OX16 0TR.

Dear Sir,

TERMS OF ENGAGEMENT

The purpose of this letter is to set out the basis on which we are engaged to act as tax advisers to yourself and the respective areas of responsibility of yourself and Whitley Stimpson.

Your spouse is legally responsible for her own tax affairs and should be dealt with independently. However, if both spouses sign this letter you agree that we can disclose to your spouse such details of your financial affairs as are required to consider your combined tax position.

We are bound by the ethical guidelines of the Institute of Chartered Accountants in England and Wales, and accept instructions to act for you on the basis that we will act in accordance with those ethical guidelines.

We will provide our professional services outlined in this letter with reasonable care and skill. However, we will not be responsible for any losses, penalties, surcharges, interest or additional tax liabilities arising from the supply by you or others of incorrect or incomplete information, or your or others' failure to supply any appropriate information or your failure to act on our advice or respond promptly to communications from us or the tax or other authorities.

1. **Taxation under self assessment**

   1.1 We will prepare the income tax computations based on the accounts of your business from the accounting records and other information and explanations provided by you.

   1.2 We will prepare your personal tax return together with such supporting schedules as are appropriate and we will prepare your self-assessment of tax and Class 4 national insurance contributions.

   1.3 We will send you your tax return and supporting schedules for you to approve and sign. We will then submit it to the Inland Revenue.

   1.4 We will tell you how much tax and national insurance contributions you should pay and when. If appropriate we will initiate repayment claims when tax and national insurance contributions have been overpaid.

   1.5 We will deal with the Inland Revenue regarding any amendments required to your return and prepare any amended returns which may be required.

(continued over....)

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1.6 We will advise as to possible claims and elections arising from the tax return and from information supplied by you. Where instructed by you, we will make such claims and elections in the form and manner required by the Inland Revenue.

1.7 We will deal with all communications relating to your return addressed to us by the Inland Revenue or passed to us by you. However, if the Inland Revenue choose your return for enquiry this work may need to be the subject of a separate assignment in which case we will seek further instructions from you.

1.8 We will check PAYE notices of coding where such notices are forwarded to us.

1.9 You will be responsible unless otherwise agreed for all other returns, and specifically:

(a) Returns relating to employee taxes under PAYE and national insurance.
(b) Returns of employee expenses and benefits on forms P11D.
(c) Returns and other requirements in relation to Value Added Tax.
(d) Returns in relation to Working Tax Credit and Childrens Tax Credit
(e) Returns for subcontractors

1.10 We are able to offer fee protection insurance to cover the cost of our fees arising from Inland Revenue investigations. If you would like further details of this service please let us know.

Your Responsibilities: Provision of Information by You

1.11 You are legally responsible for making correct returns by the due date and for payment of tax on time. Failure to meet the deadlines may result in automatic penalties, surcharges and interest. The deadline for submission of your tax return to the Inland Revenue is 31st January following the tax year. In order to enable us to submit your tax return before this deadline it is your responsibility to ensure that all necessary information is provided to us by 30th November. We cannot accept any responsibility for penalties if the return is filed late due to us not receiving all necessary information by 30th November. An incomplete return will be treated by the Inland Revenue the same as no return.

1.12 To enable us to carry out our work you agree:

(a) that all returns are to be made on the basis of full disclosure of all sources of income, charges, allowances and capital transactions;
(b) to provide full information necessary for dealing with your affairs: we will rely on the information and documents being true, correct and complete and will not audit the information or those documents;
(c) that we can approach such third parties as may be appropriate for information that we consider necessary to deal with your affairs;
(d) to provide us with information in sufficient time for your tax return to be completed and submitted by the due date following the end of the tax year.
(e) to forward to us on receipt copies of all Inland Revenue statements of account, PAYE coding notices, notices of assessment, letters and other communications received from the Inland Revenue to enable us to deal with them as may be necessary within the statutory time limits; and
(f) to keep us informed about significant changes in your circumstances if they are likely to affect your tax position.

(continued over.....)

2. Investment services

2.1 Although we are not authorised by the Financial Services Authority to conduct Investment Business, we are licensed by the Institute of Chartered Accountants in England and Wales to provide certain limited investment services where these are complementary to, or arise out of, the professional services we are providing to you.

2.2 In particular, we may:

- advise you on investments generally, but not recommend a particular investment or type of investment;
- refer you to an Permitted Third Party (PTP) (an independent firm authorised by the FSA), assist you and the permitted third party during the course of any advice given by that party and comment on, or explain, the advice received (but not make alternative recommendations). The PTP will issue you with his own terms and conditions letter, will be remunerated separately for his services and will take full responsibility for compliance with the requirements of the Financial Services and Markets Act 2000.;
- assist you in making arrangements for transactions in investments in certain circumstances;
- advise and assist you in transactions concerning shares or other securities not quoted on a recognised exchange; and
- manage investments or act as trustee (or donee of a power of attorney) where decisions to invest are taken on the advice of an authorised person.

2.3 The firm may receive commission from any introduction to a PTP in connection with the above, in which case you will be fully informed of the expected size and nature of such commission at the time of the introduction.

2.4 To enable us to provide you with a proper service, there may be occasions when we will need to contact you without your express permission concerning investment business matters. For example, it may be in your interests to sell a particular investment and we would wish to inform you of this.

2.5 If you are dissatisfied in any way about our services described in this section, you should follow the procedures set out in the 'Help us to give best advice' section of this letter and, if in the unlikely event that we cannot meet our liabilities to you, you may be able to claim compensation under the Chartered Accountants Compensation Scheme.

3. Quality Management System

3.1 The firm has a quality management system. Under this system your files may be subject to selection under a compliance sampling review, in which case all the information in your files will be treated in the strictest confidence. We assume that your agreement to the terms of this letter signifies that you have no objection to your files being made available for review.

4. Retention of and access to records

4.1 During the course of our work we will collect information from you and others acting on your behalf and will return any original documents to you following the preparation of your accounts.

4.2 Whilst certain documents may legally belong to you, we intend to destroy correspondence and other papers that we store which are more than seven years old, other than documents which we consider to be of continuing significance. If you require retention of any document you must notify us of that fact in writing.

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5. **Fees**

5.1 Our fees are computed on the basis of the time spent on your affairs by the partners and our staff, and on the levels of skill and responsibility involved. Unless otherwise agreed, our fees will be charged separately for each of the main classes of work described above, will be billed at appropriate intervals during the course of the year, and will be due on presentation. We retain the right to charge interest on amounts outstanding at the rate of 4% above bank base rate.

5.2 Cash will not be accepted in payment for services rendered. All fees should be paid by cheque or, preferably, by bank transfer.

6. **Help us to give best advice**

6.1 If at any time you would like to discuss with us how our service to you could be improved please let us know by telephoning Mr. Martin Wyatt.

6.2 If you are dissatisfied with the service you are receiving please let us know by either telephoning this office and speaking to the duty partner, or by writing to this office clearly marking your letter for the attention of the duty partner.

6.3 We undertake to look into any complaint carefully and promptly and to do all we can to explain the position to you. If we have given a less than satisfactory service we will undertake to do everything reasonable to put it right.

6.4 We would advise you that should it not be possible to resolve your complaint satisfactorily you have the right to pass your complaint to the Institute of Chartered Accountants in England and Wales.

7. **Applicable law**

7.1 This engagement letter shall be governed by and construed in accordance with English Law. The courts of England shall have exclusive jurisdiction in relation to any claim, dispute or difference concerning the engagement letter and any matter arising from it. Each party irrevocably waives any right it may have to object to an action being brought in those Courts, to claim that the action has been brought in an inconvenient forum, or to claim that those Courts do not have jurisdiction.

8. **Electronic communication**

8.1 Internet communications are capable of data corruption and therefore we do not accept any responsibility for changes made to such communications after their despatch. It may therefore be inappropriate to rely on advice contained in an e-mail without obtaining written confirmation of it. We do not accept responsibility for any errors or problems that may arise through the use of internet communication and all risks connected with sending commercially sensitive information relating to your business are borne by you. If you do not agree to accept this risk, you should notify us in writing that e-mail is not an acceptable means of communication.

8.2 It is the responsibility of the recipient to carry out a virus check on any attachments received.

9. **Data Protection Act 1998**

9.1 We may obtain, use, process and disclose personal data about you in order that we may discharge the services agreed under this engagement letter, and for other related purposes including updating and enhancing client records, analysis for management purposes and statutory returns, crime prevention and legal and regulatory compliance. You have a right of access, under data protection legislation, to the personal data that we hold about you. For the purposes of the Data Protection Act 1998, the Data Controller in relation to personal data supplied about you is Whitley Stimpson.

(continued over....)

10. **Contracts (Rights of Third Parties) Act 1999**

10.1 Persons who are not party to this agreement shall have no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of this agreement. This clause does not effect any right or remedy of any person which exists or is available otherwise than pursuant to that Act.

11 **Money laundering**

11.1 We have a duty under section 330 of the Proceeds of Crime Act 2002 to report to the National Criminal Intelligence Service (NCIS) if we know, or have reasonable cause to suspect, that you, or anyone connected with your business, are or have been involved in money laundering. Failure on our part to make a report where we have knowledge or reasonable grounds for suspicion would constitute a criminal offence.

11.2 The offence of money laundering is defined by section 340(11) of the Proceeds of Crime Act and includes the acquisition, possession or involvement in arrangements for concealing the benefits of *any* activity that constitutes a criminal offence in the UK. This definition is very wide and would include:

- tax evasion through deliberate understatement of income or overstatement of expenses or stocks; or
- deliberate failure to inform the tax authorities of known underpayments.

11.3 We are obliged by law to report to NCIS without your knowledge and consent and in fact we would commit the criminal offence of tipping off under section 333 of the Proceeds of Crime Act were we to inform you of any suspicions or that a report had been made.

11.4 We are not required to undertake work for the sole purpose of identifying suspicions of money laundering. We shall fulfil our obligations under the Proceeds of Crime Act 2002 in accordance with the guidance published by the Institute of Chartered Accountants in England and Wales.

12. **Agreement of terms**

12.1 Once it has been agreed, this letter will remain effective, from one assignment to another, until it is replaced. We shall be grateful if you would confirm in writing your agreement to the terms of this letter, by signing the office copy as approved, or let us know if they are not in accordance with your understanding of our terms of engagement.

Yours faithfully

Whitley Stimpson

Whitley Stimpson

I confirm that I have read and understood the contents of this letter and agree that it accurately reflects my understanding of the services I require you to provide.

Signed - Mr. M. Durbin

Date 5/4/05